

POLICY DISCUSSION PAPER

Inclusive Green Economy: A Framework for Canadian Cities

How circular economy initiatives can be designed from the outset to include communities systematically excluded from green job creation.

Kasandy Foundation · KCEI Research Series · 2026

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This paper reflects the policy perspective of the Kasandy Foundation and does not represent official government policy.

Inclusive Green Economy: A Framework for Canadian Cities

Canada's transition to a green economy is generating significant public investment, policy momentum, and private sector activity. Green jobs in clean energy, circular manufacturing, sustainable transportation, and environmental services are projected to be among the fastest-growing employment categories through 2030. However, without deliberate design, green job creation will replicate the exclusion patterns of the existing economy — concentrating new work among workers who are already well-positioned and bypassing the communities that bear the greatest burden of environmental harm and economic precarity.

This paper proposes a framework for Canadian cities to evaluate and fund circular economy initiatives on the basis of both environmental and social outcomes — arguing that inclusive green economy design is not a secondary consideration but a prerequisite for achieving equity-aligned climate goals.

Framework at a glance

- Dimension 1: Employment reach — Does the initiative create jobs for equity-deserving communities?
- Dimension 2: Wage quality — Are wages living wages? Is there upward mobility?
- Dimension 3: Waste diversion — What volumes and waste streams are addressed?
- Dimension 4: Municipal integration — Does the initiative supply to municipal procurement?
- Dimension 5: Research infrastructure — Is the model validated and replicable?

THE INCLUSION GAP IN CANADIAN GREEN ECONOMY POLICY

The Inclusion Gap

Federal and provincial green economy strategies — including Canada's Emissions Reduction Plan, the Sustainable Jobs Act, and BC's CleanBC program — set ambitious targets for green job creation. CleanBC, for example, projects over 50,000 clean economy jobs in BC by 2030. However, analysis of which communities are expected to fill these roles reveals a significant gap between stated equity commitments and operational design.

Indigenous communities, newcomers, people with disabilities, and Black and racialized workers are underrepresented in clean economy employment pipelines. This is partly structural (lack of access to training and certification pathways) and partly design-based (new clean economy employers replicating existing hiring practices). A 2022 review of funded clean economy projects in Ontario found that fewer than 12% had specific inclusive employment targets.

Why this matters for climate justice

The communities most likely to bear the disproportionate burden of climate change — low-income urban residents, Indigenous communities, newcomers settling in inner cities — are also the least likely to benefit from green economy transition programs. This creates both an equity deficit and a practical policy failure: green economy programs that exclude marginalized communities miss the largest available workforce for entry-level manufacturing and processing roles.

THE FRAMEWORK

Five-Dimension Evaluation Framework

The following framework is proposed for municipal procurement officers, grant reviewers, and economic development agencies evaluating proposals from circular economy ventures. It supplements (rather than replaces) environmental performance criteria.

Dimension 1: Employment Reach

Who does this initiative employ? Are they people who face documented barriers to employment? Key indicators: percentage of workers from equity-deserving communities, presence of partnerships with settlement agencies, accessibility of workplace design, and explicit hiring commitment to named communities.

Dimension 2: Wage Quality

What does the initiative pay? Is it at or above living wage? Is there wage progression? Living Wage BC standards (currently \$25.68/hour in Metro Vancouver, 2024) provide a reference. Initiatives paying minimum wage create employment but not the economic security that constitutes genuine inclusion.

Dimension 3: Waste Diversion Impact

What volumes does the initiative divert? From which waste streams? What is the avoided environmental impact in GHG equivalent terms? For textile-specific initiatives: tonnes diverted, percentage of local waste stream addressed, and documented diversion from export pipeline.

Dimension 4: Municipal Integration

Does the initiative supply to municipal procurement? Municipal purchasing of circular products creates a stable demand base that de-risks the venture and leverages public dollars for multiple policy goals: waste diversion, procurement sustainability, and employment equity simultaneously.

Dimension 5: Research Infrastructure

Is the initiative generating and publishing evidence? Circular economy ventures that engage with post-secondary research institutions validate their models, improve their processes, and produce knowledge transferable to other regions. Formal research partnerships (MOUs, embedded researchers) are a strong indicator of model quality and replicability.

KCEI as an Applied Case

The Kasandy Circular Economy Initiative was designed against precisely these dimensions. Its employer communities include refugees, newcomers, people with disabilities, and Black and Indigenous women. Its workplace is trauma-informed. It targets municipal procurement in Vancouver, Victoria, and the Capital Regional District. It has a formal research MOU with Emily Carr University. It is government-funded through FFBC and SBCCI.

KCEI does not claim to be the only or the definitive model — but it is a demonstration of what it looks like to design a circular economy initiative with inclusion as a structural principle rather than an afterthought.

Policy recommendations for Canadian municipalities

- Add inclusive employment criteria to clean economy grant evaluation rubrics (minimum 20% weighting)
- Establish living wage procurement requirements for circular economy product suppliers
- Fund textile-specific circular economy pilots with explicit inclusive employment mandates
- Create municipal textile waste collection systems that feed into local circular manufacturers
- Publish annual data on green economy job creation disaggregated by equity community

Sources: Canada Emissions Reduction Plan (2022); BC CleanBC Roadmap to 2030; Living Wage BC (2024); Sustainable Jobs Act (Bill C-50); Clean Economy Workers Centre reports; University of Waterloo textile waste research (2023); Kasandy Foundation KCEI program documentation. kasandyfoundation.org.